

Nexora Technologies Pvt. Ltd.
Portfolio Optimization

SIM-012: The Products We Shouldn't Keep Selling

Presented by:
Niketh Kammari

Strategic Pruning & Margin Realignment Across Nexora's Catalogue

Context & Challenge:

- Evaluated 500 SKUs generating ₹85.97 Cr in total net revenue.
- Identified significant profitability risks masked by strong top-line sales figures

Core Executive Takeaway:

- Key Finding: High sales volume hides severe negative margin drag (e.g., PRD-002 PowerBank 20K lost ₹5.16 Cr on ₹12.44 Cr sales).
- Strategic Mandate: Transition from unbridled revenue expansion to margin-focused portfolio management.

Portfolio Baseline: Revenue vs. True Profitability

Total Sales:
₹85.97 Cr

**Portfolio Effective
Margin:**
21.10%

**Total Refund
Costs:**
₹1.82 Cr

Key Observations:

- **Wireless Audio and Mobile Accessories drive >60% of total portfolio sales.**
- **Heavy discounting across key SKUs erodes initial profit margins.**
- **Return handling costs and customer refunds create an unmonitored profit leak across multiple subcategories**

Data Hygiene & Pipeline Standardization Log

Step 1 – Product Nomenclature:

- Trimmed white spaces and standardized product names.

Step 2 – Category Consolidation:

- Unified 16 spelling and formatting variations into 7 core categories

Step 3 – Handling Missing Return Reasons:

- Replaced 978 NULL values in the returns table with 'Reason Not Provided' to maintain database auditability

Revenue vs. Margin Breakdown: High Sales Masking Losses

The Star — PRD-001 (AirBeats Pro):

- Net Sales: ₹24.30 Cr
- Effective Margin: +40.55%
- Return Rate: 2.04%
- Status: Highly profitable driver of cash flow.

The Revenue Trap — PRD-002 (PowerBank 20K):

- Net Sales: ₹12.44 Cr
- Effective Margin: -41.56%
- Total Loss: -₹5.17 Cr
- Status: Deep loss-leader due to steep discounting and high returns.

Return Rates: Uncovering Hidden Cost Leaks

Key Insights:

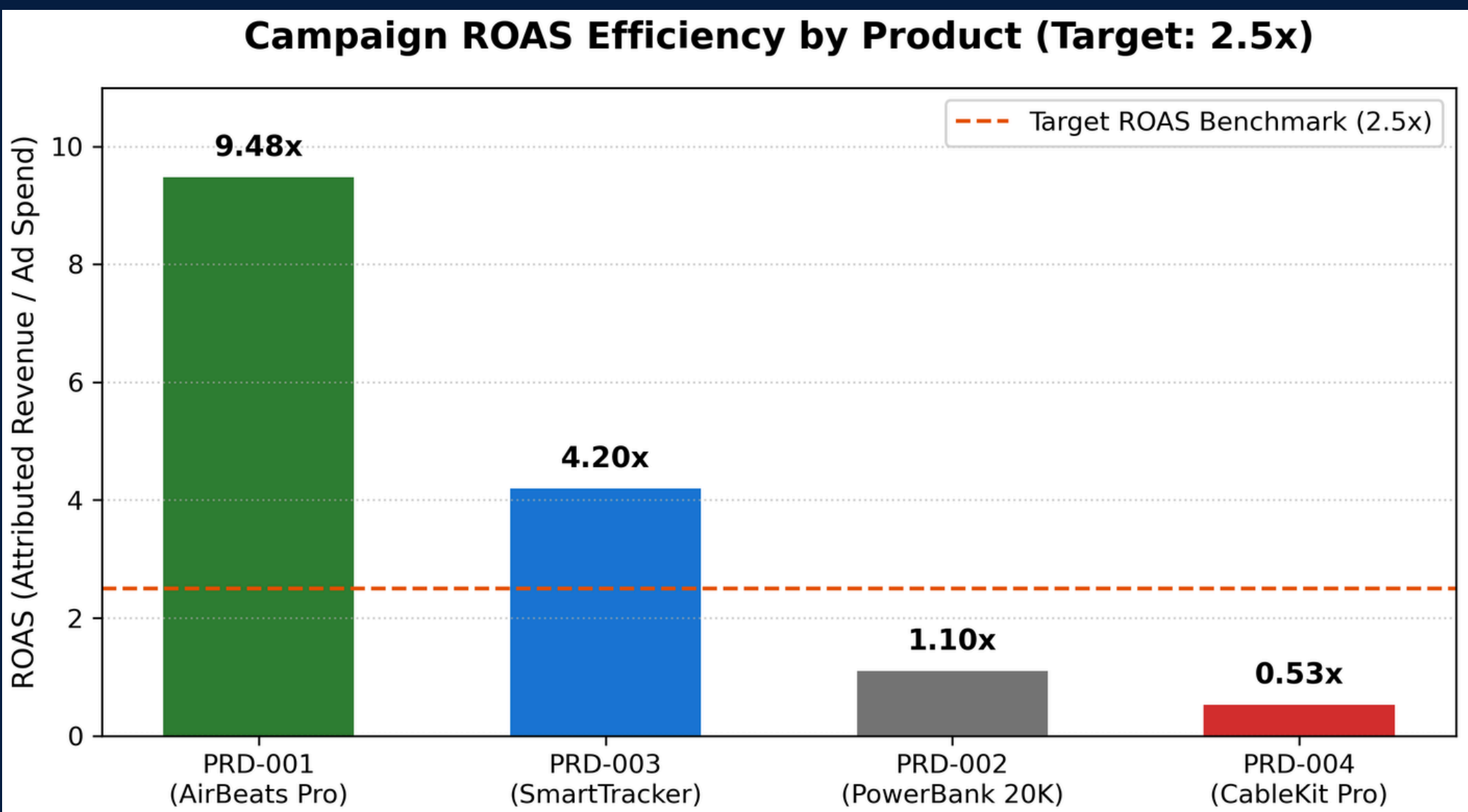
- Total portfolio refund payout reached ₹1.82 Cr.
- Extreme Outlier — PRD-004 (CableKit Pro):
 - Return Rate: 22.48% (vs. portfolio target $< 5\%$).
 - Refund Cost: ₹6.46 Lakhs.
 - Root Cause: Quality defects, cable frayed during shipping, or hardware incompatibility.

Customer Sentiment & Review Analysis

Findings:

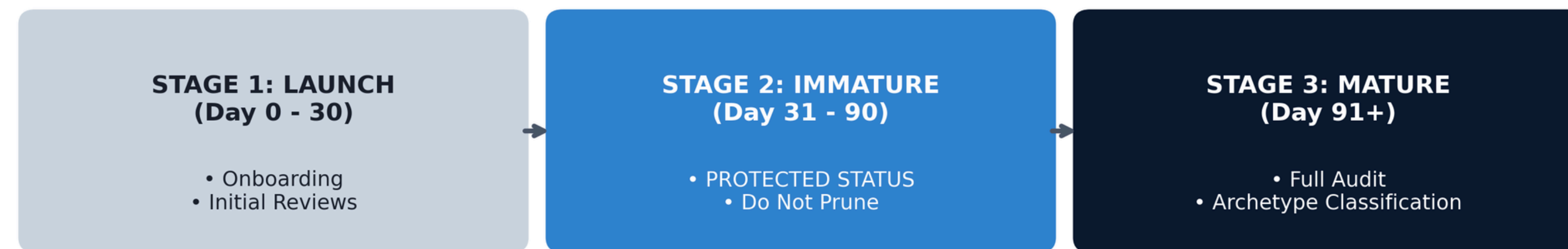
- **Customer star ratings correlate directly with return spikes and margin erosion.**
- **Low Score Drag: PRD-002 (PowerBank 20K) averages 3.20 / 5.0, driven by thermal complaints and failure to hold charge.**
- **High Score Driver: PRD-003 (SmartTracker Tag) averages 4.56 / 5.0, proving high product-market fit.**

Marketing Spend Efficiency & ROAS Performance



- **High ROAS Champion:** PRD-001 achieved 9.48x ROAS, showing high ad conversion efficiency.
- **Wasteful Spend:** Underperforming SKUs like PRD-004 generated 0.53x ROAS, meaning ad spend exceeded generated revenue.
- **Action:** Reallocate ad budgets away from high-return products toward high-margin, high-rating SKUs.

Product Maturity Evaluation: The 90-Day Lifecycle Rule



CASE EXAMPLE: PRD-005 (SoundBar Mini)

- Days Since Launch: 49 Days (Inside 90-Day Protected Window)
- Net Sales: ₹17.80 Lakhs
- Effective Margin: +46.06%

VERDICT: PROTECTED

Keep active in catalogue.
Evaluate against Star/Weak
criteria after Day 90.

Multi-Dimensional Product Archetype Framework

STAR PRODUCTS

67 SKUs

- Positive Margin
- Rating ≥ 4.0
- Return Rate $< 5\%$

Scale & Protect

REVENUE TRAPS

1 SKU - PRD-002

- Net Sales $> ₹1$ Cr
- Profit: Negative ($-₹5.17$ Cr)
- Rating: Low (3.20/5)

Restructure / Prune

HIDDEN OPPORTUNITIES

12 SKUs

- Positive Margin
- Rating ≥ 4.0
- Ad Spend $< ₹1$ Lakh

Increase Ad Spend

WEAK PRODUCTS

419 SKUs

- Sub-par Margins OR
- Low Customer Ratings
- Low Marketing ROAS

Audit & Rework SKU List

IMMATURE PRODUCTS

1 SKU - PRD-005

- Age < 90 Days (49 Days)
- High Margin (+46.06%)
- Onboarding Phase

Protect Status (90 Days)

Evaluation of Leadership Hypotheses

**Aarushi Kapoor
(Head of Product)**

"More SKUs drive scale"

VERDICT: CONTRADICTED

Catalogue expansion diluted overall margin focus and added operational overhead.

**Nikhil Sharma
(CFO)**

"Revenue masks unprofitability"

VERDICT: SUPPORTED

PRD-002 generated ₹12.44 Cr in sales but created a -₹5.17 Cr net loss.

**Sonal Verma
(Head of Marketing)**

"Ad spend drives profitable velocity"

VERDICT: PARTIALLY SUPPORTED

Effective for high-ROAS products (PRD-001), but wasteful when promoting high-return items (PRD-004).

Strategic Portfolio Action Plan

INVEST

Hidden Opportunities

Scale ad spending for high-margin items like PRD-003.

FIX / REDESIGN

High Return Rates

Address packaging and manufacturing flaws in PRD-004.

RESTRUCTURE

Revenue Traps

Eliminate steep discounts on PRD-002; discontinue if margins remain negative.

PROTECT

Immature Products

Maintain promotional support for PRD-005 through its initial 90-day ramp period.

Project Limitations & Implementation Roadmap

Limitations:

- Analysis does not account for fixed warehouse storage fees or individual order shipping costs.
- LACK of long-term Customer Lifetime Value (LTV) tracking per acquisition channel.

Next Steps:

- Build automated SQL/Power BI alerts for SKUs dropping below 0% net margin.
- Establish quarterly catalogue review cycles.